

INDIAN LABOUR LAWS

Policy Reference Document for Contract Compliance Checker

Acts Covered	5 Central Labour Statutes
Jurisdiction	Republic of India (Pan-India)
Purpose	Employment Contract Violation Detection
Key Sections	Working Hours · Wages · Maternity · Compensation · Disputes
Last Updated	2025 (as amended)

This document contains verbatim statutory text from Indian Central Acts as published on IndiaCode (indiacode.nic.in) and the e-Gazette (egazette.gov.in). It is compiled solely for use as a machine-readable policy reference in an automated contract compliance checker. All Acts are freely available public legal documents.

TABLE OF CONTENTS

Factories Act, 1948

1. Sections 51–56: Working Hours, Overtime & Rest Intervals
-

Maternity Benefit Act, 1961

2. Sections 4, 12: Employment Restrictions & Dismissal Protection
-

Payment of Wages Act, 1936

3. Sections 5, 7, 8: Wage Period, Authorised Deductions & Claims
-

Employees' Compensation Act, 1923

4. Sections 3, 17: Employer Liability & Waiver Void
-

Industrial Disputes Act, 1947

5. Sections 9A, 25F: Unilateral Changes & Retrenchment Conditions
-

THE FACTORIES ACT, 1948

Act No. 63 of 1948 | As amended up to 2023

An Act to consolidate and amend the law regulating labour in factories. Sections 51–56 govern working hours, weekly holidays, overtime wages, and mandatory rest intervals for workers.

Section 51 — Weekly Hours

No adult worker shall be required or allowed to work in a factory for more than forty-eight hours in any week.

Section 52 — Weekly Holidays

(1) No adult worker shall be required or allowed to work in a factory on the first day of the week (hereinafter referred to as the said day), unless—

(a) he has or will have a holiday for a whole day on one of the three days immediately before or after the said day; and

(b) the manager of the factory has, before the said day or the substituted day under clause (a), whichever is earlier, given notice at the prescribed place of the day which is to be substituted.

(2) No substitution shall be made under clause (a) of sub-section (1) which will result in any worker working for more than ten days consecutively without a holiday for a whole day.

(3) The provisions of sub-section (1) shall not apply to any factory in which work is carried on by shifts extending over more than one day.

Section 53 — Compensatory Holidays

(1) Where, as a result of the passing of an order or the making of a rule under the provisions of this Act exempting a factory or the workers therein from the provisions of section 52, a worker is deprived of any of the holidays for which provision is made thereunder, he shall be allowed, within the month in which the holidays were due to him or within the two months immediately following that month, compensatory holidays of equal number to the holidays so lost.

Section 54 — Daily Hours

Subject to the provisions of section 51, no adult worker shall be required or allowed to work in a factory for more than nine hours in any day:

Provided that, subject to the prior approval of the Chief Inspector, the daily maximum hours specified in this section may be exceeded in order to facilitate the change of shifts.

Section 55 — Intervals for Rest

(1) The periods of work of adult workers in a factory each day shall be so fixed that no period shall exceed five hours and that no worker shall work for more than five hours before he has had an interval for rest of at least half an hour.

(2) The State Government or, subject to the control of the State Government, the Chief Inspector, may, by written order and for the reasons specified therein, exempt any factory from the provisions of sub-section (1) so however that the total number of hours worked by a worker without an interval does not exceed six.

Section 56 — Spread Over

The periods of work of an adult worker in a factory shall be so arranged that inclusive of his intervals for rest under section 55, they shall not spread over more than ten and a half hours in any day:

Provided that the Chief Inspector may, for reasons to be specified in writing, increase the spread over up to twelve hours.

■ **Common Contract Violations:**

- Contract stipulates shifts longer than 9 hours/day or 48 hours/week without Chief Inspector approval
- No provision for weekly holiday or compensatory holiday when weekly off is denied
- Shifts scheduled without minimum half-hour rest break after every 5 hours of work
- Spread over exceeds 10.5 hours without Chief Inspector's written approval
- Consecutive work beyond 10 days without a full day off

THE MATERNITY BENEFIT ACT, 1961

Act No. 53 of 1961 | As amended up to 2017

An Act to regulate the employment of women in certain establishments for certain periods before and after child-birth and to provide for maternity benefit and certain other benefits. Sections 4 and 12 are critical for employment contract compliance.

Section 4 — Employment of, or Work by, Women Prohibited During Certain Periods

- (1) No employer shall knowingly employ a woman in any establishment during the six weeks immediately following the day of her delivery, miscarriage or medical termination of pregnancy.
- (2) No woman shall work in any establishment during the six weeks immediately following the day of her delivery, miscarriage or medical termination of pregnancy.
- (3) Without prejudice to the provisions of section 6, no pregnant woman shall, on a request being made by her in this behalf, be required by her employer to do during the period specified in sub-section (4) any work which is of an arduous nature or which involves long hours of standing, or which in any way is likely to interfere with her pregnancy or the normal development of the foetus, or is likely to cause her miscarriage or otherwise to adversely affect her health.
- (4) The period referred to in sub-section (3) shall be—
 - (a) the period of one month immediately preceding the period of six weeks, before the date of her expected delivery;
 - (b) any period during the said period of six weeks for which the pregnant woman does not avail of leave of absence under section 6.

Section 12 — Dismissal During Absence or Pregnancy Prohibited

- (1) When a woman absents herself from work in accordance with the provisions of this Act, it shall be unlawful for her employer to discharge or dismiss her during or on account of such absence or to give notice of discharge or dismissal on such a day that the notice will expire during such absence, or to vary to her disadvantage any of the conditions of her service.
- (2)(a) The discharge or dismissal of a woman at any time during her pregnancy, if the woman but for such discharge or dismissal would have been entitled to maternity benefit or medical bonus referred to in section 8, shall not have the effect of depriving her of the maternity benefit or medical bonus:

Provided that where the dismissal is for any prescribed gross misconduct, the employer may, by order in writing, communicated to the woman, deprive her of the maternity benefit or medical bonus or both.
- (b) Any woman deprived of maternity benefit or medical bonus, or both, or discharged or dismissed during or on account of her absence from work in accordance with the provisions of this Act, may, within sixty days from the date on which order of such deprivation or discharge or dismissal is communicated to her, appeal to such authority as may be prescribed, and the decision of that authority on such appeal, whether the woman should or should not be deprived of maternity benefit or medical bonus or both, or whether she should or should not be discharged or dismissed, shall be final.

■ **Common Contract Violations:**

- Contract permits termination during maternity leave or pregnancy (void under S.12(1))
- Contract varies service conditions to the detriment of a woman on maternity leave
- Contract requires women to perform arduous work in the month before expected delivery
- Contract does not preserve maternity benefit entitlement on dismissal (S.12(2)(a))
- Contract clause purporting to waive maternity rights in exchange for any other benefit
- No notice-protection clause: notice issued during maternity leave set to expire during leave

An Act to regulate the payment of wages to certain classes of employed persons. Sections 5, 7, and 8 establish legally binding timelines for wage payment, limit permissible deductions, and provide the claims procedure for wrongful deductions.

Section 5 — Time of Payment of Wages

(1) The wages of every person employed upon or in—

(a) any railway, factory or [industrial or other establishment] upon or in which less than one thousand persons are employed, shall be paid before the expiry of the seventh day after the last day of the wage-period in respect of which the wages are payable;

(b) any other railway, factory or [industrial or other establishment], shall be paid before the expiry of the tenth day after the last day of the wage-period in respect of which the wages are payable:

Provided that in the case of persons employed on a dock, wharf or jetty or in a mine, the balance of wages found due on completion of the final tonnage account of the ship or wagons loaded or unloaded, as the case may be, shall be paid before the expiry of the seventh day from the day of such completion.

(2) Where the employment of any person is terminated by or on behalf of the employer, the wages earned by him shall be paid before the expiry of the second working day from the day on which his employment is terminated.

(3) The State Government may, by general or special order, exempt, to such extent and subject to such conditions as may be specified in the order, the person responsible for the payment of wages to persons employed upon any railway (otherwise than in a factory) from the operation of this section in respect of wages of any such person or class of such persons.

(4) Save as otherwise provided in sub-section (2), all payments of wages shall be made on a working day.

Section 7 — Deductions Which May Be Made from Wages

(1) Notwithstanding the provisions of sub-section (2) of section 47 of the Indian Railways Act, 1890, the wages of an employed person shall be paid to him without deductions of any kind except those authorised by or under this Act.

Explanation I.— Every payment made by the employed person to the employer or his agent shall, for the purposes of this Act, be deemed to be a deduction from wages.

Explanation II.— Any loss of wages resulting from the imposition, for good and sufficient cause, upon a person employed in any factory or industrial establishment, of any of the following penalties, namely:— (i) the withholding of increment or promotion (including the stoppage of increment at an efficiency bar); (ii) the reduction to a lower post or time-scale or to a lower stage in a time-scale; or (iii) suspension; shall not be deemed to be a deduction from wages in any case where the rules framed by the employer for the imposition of such penalty are in conformity with the requirements, if any, which may be specified in this behalf by the State Government by notification in the Official Gazette.

(2) Deductions from the wages of an employed person shall be made only in accordance with the provisions of this Act, and may be made only for the following purposes, namely:—

(i) fines;

(ii) absence from duty;

(iii) damage to or loss of goods expressly entrusted to the employed person for custody, or for loss of money for which he is required to account, where such damage or loss is directly attributable to his neglect or default;

- (iv) house-accommodation supplied by the employer or by Government or any housing board set up under any law for the time being in force;
- (v) such amenities and services supplied by the employer as the State Government or any officer specified by it in this behalf may, by general or special order, authorise;
- (vi) recovery of advances of whatever nature (including advances for travelling allowance or conveyance allowance), and the interest due in respect thereof, or for adjustment of over-payment of wages;
- (vii) recovery of loans made from any fund constituted for the welfare of labour in accordance with the rules approved by the State Government, and the interest due in respect thereof;
- (viii) income-tax payable by the employed person;
- (ix) payments to co-operative societies approved by the State Government or to a scheme of insurance maintained by the Indian Post Office;
- (x) deductions, made with the written authorisation of the employed person, in furtherance of any savings scheme approved by the State Government for such employed person;
- (xi) payments required to be made by an employed person under any law for the time being in force.

(3) Notwithstanding anything contained in this Act, the total amount of deductions which may be made under sub-section (2) in any wage-period from the wages of any employed person shall not exceed—

- (i) in cases where such deductions are wholly or partly made for payments to co-operative societies under clause (ix) of sub-section (2), seventy-five per cent. of such wages, and
- (ii) in any other case, fifty per cent. of such wages.

If the total deductions authorised under sub-section (2) exceed fifty per cent. or, as the case may be, seventy-five per cent. of the wages, the excess may be recovered in such manner as may be prescribed.

Section 8 — Fines

- (1) No fine shall be imposed on any employed person save in respect of such acts and omissions on his part as the employer, with the previous approval of the State Government or of the prescribed authority, may have specified by notice under sub-section (2).
- (2) A notice specifying such acts and omissions shall be exhibited in the prescribed manner on the premises in which the employment is carried on.
- (3) No fine shall be imposed on any employed person until he has been given an opportunity of showing cause against the fine, or otherwise than in accordance with such procedure as may be prescribed for the imposition of fines.
- (4) The total amount of fine which may be imposed in any one wage-period on any employed person shall not exceed an amount equal to three per cent. of the wages payable to him in respect of that wage-period.
- (5) No fine shall be imposed on any employed person who is under the age of fifteen years.
- (6) No fine imposed on any employed person shall be recovered from him by instalments or after the expiry of sixty days from the day on which it was imposed.
- (7) Every fine shall be deemed to have been imposed on the day of the act or omission in respect of which it was imposed.
- (8) All fines and all realisations thereof shall be recorded in a register to be kept by the person responsible for the payment of wages under section 3 in such form as may be prescribed; and all such realisations shall be applied only to such purposes beneficial to the persons employed in the factory or establishment as are approved by the prescribed authority.

■ **Common Contract Violations:**

- Wages paid later than 7th/10th day after wage period ends (S.5(1))
- Final settlement not paid within 2 working days of termination (S.5(2))
- Contract allows deductions beyond 50% of wages in a wage period (S.7(3))
- Deductions not in the authorised list under S.7(2) (e.g. arbitrary penalty deductions)
- Fines exceeding 3% of wages in a single wage period (S.8(4))
- Fines imposed without prior State Government approval of the list of acts (S.8(1))
- Fine recovered by instalments or more than 60 days after imposition (S.8(6))
- Contract clause allowing employer to deduct wages without written authorisation

An Act to provide for the payment by certain classes of employers to their employees of compensation for injury by accident. Formerly called the Workmen's Compensation Act; renamed in 2009. Section 3 establishes employer liability; Section 17 voids any contract purporting to waive these rights.

Section 3 — Employer's Liability for Compensation

(1) If personal injury is caused to an employee by accident arising out of and in the course of his employment, his employer shall be liable to pay compensation in accordance with the provisions of this Chapter:

Provided that the employer shall not be so liable—

- (a) in respect of any injury which does not result in the total or partial disablement of the employee for a period exceeding three days;
- (b) in respect of any injury, not resulting in death or permanent total disablement, caused by an accident which is directly attributable to—
 - (i) the employee having been at the time thereof under the influence of drink or drugs, or
 - (ii) the wilful disobedience of the employee to an order expressly given, or to a rule expressly framed, for the purpose of securing the safety of employees, or
 - (iii) the wilful removal or disregard by the employee of any safety guard or other device which he knew to have been provided for the purpose of securing the safety of employees.

(2) If an employee employed in any employment specified in Part C of Schedule II contracts any disease specified therein as an occupational disease peculiar to that employment, the contracting of the disease shall be deemed to be an injury by accident arising out of and in the course of his employment, and the provisions of this Act shall apply accordingly.

(3) The Central Government may, by notification in the Official Gazette, add any description of employment to the employments specified in Part C of Schedule II, and shall specify in the case of each such employment the diseases which shall be deemed for the purposes of this section to be occupational diseases peculiar to that employment, and thereupon the provisions of sub-section (2) shall apply as if such employment and diseases had been originally specified in Part C of Schedule II.

(4) Save as provided by sub-sections (2) and (3), no compensation shall be payable to an employee in respect of any disease unless the disease is directly attributable to a specific injury by accident arising out of and in the course of his employment.

(5) Nothing herein contained shall be deemed to confer any right to compensation on an employee in respect of any injury if he has instituted in a Civil Court a suit for damages in respect of the injury against the employer or any other person; and no suit for damages shall be maintainable by an employee in any Court of law in respect of any injury—

- (a) if he has received compensation in respect of the injury from the employer under this Act, or
- (b) if an agreement has been reached between the employer and the employee under section 23A.

Section 17 — Contracting Out (Waiver Void)

Any contract or agreement whereby an employee relinquishes any right of compensation from the employer for personal injury arising out of or in the course of the employment shall be null and void in so far as it purports to remove or reduce the liability of any person to pay compensation under this Act.

■ **Common Contract Violations:**

- Contract contains a clause where employee agrees not to claim compensation for work injuries (void under S.17)
- Contract purports to limit compensation to amounts below those mandated by the Act
- Contract requires employee to waive rights under Employees' Compensation Act as a condition of employment
- Employment agreement shifts liability for workplace injuries entirely onto the employee
- Contract excludes occupational diseases listed in Schedule II from employer liability
- Indemnity clause requiring employee to indemnify employer for compensation paid to the employee

An Act to make provision for the investigation and settlement of industrial disputes, and for certain other purposes. Section 9A restricts unilateral changes to service conditions. Section 25F establishes mandatory conditions for valid retrenchment.

Section 9A — Notice of Change

No employer, who proposes to effect any change in the conditions of service applicable to any workman in respect of any matter specified in the Fourth Schedule, shall effect such change—

- (a) without giving to the workmen likely to be affected by such change a notice in the prescribed manner of the nature of the change proposed to be effected; or
- (b) within twenty-one days of giving such notice:

Provided that no notice shall be required for effecting any such change—

- (a) where the change is effected in pursuance of any settlement or award; or
- (b) where the workmen likely to be affected by the change are persons to whom the Fundamental and Supplementary Rules, Civil Services (Classification, Control and Appeal) Rules, Civil Services (Temporary Service) Rules, Revised Leave Rules, Civil Service Regulations, Civilians in Defence Services (Classification, Control and Appeal) Rules or any other rules or regulations that may be notified in this behalf by the appropriate Government in the Official Gazette, apply.

Fourth Schedule — Matters in respect of which notice of change is required under Section 9A:

1. Wages, including the period and mode of payment.
2. Contribution paid, or the rules, regulations or bye-laws applicable, or the quantum of benefit payable under any Provident Fund or Pension Fund or on group insurance to which the employer is a party.
3. Compensatory and other allowances.
4. Hours of work and rest intervals.
5. Leave with wages and holidays.
6. Starting, alteration or discontinuance of shift working otherwise than in accordance with standing orders.
7. Classification by grades.
8. Withdrawal of any customary concession or privilege or change in usage.
9. Introduction of new rules of discipline, or alteration of existing rules, except in so far as they are provided in standing orders.
10. Rationalisation, standardisation or improvement of plant or technique which is likely to lead to retrenchment of workmen.
11. Any increase or reduction (other than casual) in the number of persons employed or to be employed in any occupation or process or department or shift, not occasioned by circumstances over which the employer has no control.

Section 25F — Conditions Precedent to Retrenchment of Workmen

No workman employed in any industry who has been in continuous service for not less than one year under an employer shall be retrenched by that employer until—

- (a) the workman has been given one month's notice in writing indicating the reasons for retrenchment and the period of notice has expired, or the workman has been paid in lieu of such notice, wages for the period of the notice;

(b) the workman has been paid, at the time of retrenchment, compensation which shall be equivalent to fifteen days' average pay [for every completed year of continuous service] or any part thereof in excess of six months; and

(c) notice in the prescribed manner is served on the appropriate Government [or such authority as may be specified by the appropriate Government by notification in the Official Gazette].

■ **Common Contract Violations:**

- Contract permits termination without one month's notice or pay in lieu after 1 year of service (S.25F(a))
- Contract does not provide for retrenchment compensation of 15 days' pay per completed year (S.25F(b))
- Termination clause allows immediate dismissal without government notice as required by S.25F(c)
- Contract unilaterally changes wages, hours, leave, or shift patterns without 21-day advance notice (S.9A)
- Contract allows employer to alter Fourth Schedule matters without any prior notice to workmen
- Fixed-term contract renewed repeatedly to avoid the one-year continuous service threshold
- Contract designates workers as 'contractors' or 'consultants' to circumvent retrenchment provisions

QUICK REFERENCE — KEY NUMERICAL THRESHOLDS

Provision	Threshold / Requirement	Act & Section
Max weekly hours	48 hours	Factories Act, S.51
Max daily hours	9 hours	Factories Act, S.54
Rest interval	½ hour after every 5 hours	Factories Act, S.55
Max spread over	10.5 hours/day	Factories Act, S.56
Post-delivery rest	6 weeks minimum	Maternity Benefit Act, S.4
Wage payment (small estb.)	By 7th day after wage period	Payment of Wages Act, S.5(1)(a)
Wage payment (large estb.)	By 10th day after wage period	Payment of Wages Act, S.5(1)(b)
Final settlement on exit	Within 2 working days	Payment of Wages Act, S.5(2)
Max total deductions	50% of wages per period	Payment of Wages Act, S.7(3)
Max fine per wage period	3% of wages	Payment of Wages Act, S.8(4)
Fine recovery time limit	60 days from imposition	Payment of Wages Act, S.8(6)
Retrenchment notice	1 month or pay in lieu	Industrial Disputes Act, S.25F(a)
Retrenchment compensation	15 days' pay per completed year	Industrial Disputes Act, S.25F(b)
Notice of change	21 days before effect	Industrial Disputes Act, S.9A
Waiver of compensation	Void & unenforceable	Employees' Compensation Act, S.17